

- Are you self-employed? In general, leases are more attractive if your business is responsible for making the payments.
- Are you a tough negotiator? Lease agreements are hard to understand and many consumers find it especially difficult to calculate exactly what their agreements require them to pay for a car.

Experts recommend that before you decide to lease, you learn to perform present-value calculations, whereby you determine how much a payment plan will ultimately cost. Be sure to take your calculator with you to the auto showroom and run the numbers as talks progress. If you do not have an understanding of how to calculate present-value, make sure you insist the dealer perform these computations for you. You need to know the total costs of the various payment plan options in order to be able to make an informed decision.

In the case of Bill and Heather Jones, who were shopping for luxury cars, they really didn't know the difference between leasing and purchasing, so they randomly chose to lease them. These luxury cars did not come cheaply. The Jones' combined lease payments totaled \$900. Full insurance coverage on both cars totaled about \$300. Bill's insurance was almost double that of Heather's since he had a DUI/DWI (Driving While Under the Influence of Alcohol) on his record and his rates shot up after that incident. Heather's gas purchases were about triple Bill's since she drove around continuously because of the nature of her job. This led to more frequent maintenance and oil changes. Factoring in their annual car registration, their combined monthly automobile costs totaled \$1,500.

Bill and Heather's rent payment came to \$1,200. They lived in Dallas, Texas, and it was difficult to rent an apartment for two persons for less than what they were paying. They joked that they should start living out of their cars and save

